Chapter Forty-Nine

Industrial Policy Reforms

After 1951 and 1991, It Could Be the 2021 Moment for Industrial Policy Reforms

The government has been talking about a new industrial policy for the past three to four years. It was expected to get finalized in 2021, but has not. The new Industrial Policy should aim at building industry and infrastructure for India's $10 trillion economy by 2035. Manufacturing is industry primarily, though important contributions also come from mining, utilities and construction. The new industrial policy would have to address five major general issues (there are many sector specific issues as well) that have held back industrial growth in India.

First, the country is still not technologically advanced in quite a few industries and there is considerable technological obsolescence in many Indian industries, which has caused widespread sickness. Technological obsolescence and industrial sickness need to be addressed effectively.

Second, Indian industry suffers from high costs of doing business. Higher cost of land, loans and power, among others, makes Indian industry non-competitive and discourages the flow of equity and capital investment. General cost non-competitiveness leads to policymakers bringing industry/class-specific cost-neutralizing incentive packages. These packages do not address general cost non-competitiveness. In addition to the ease of doing business, the cost of doing business needs to be effectively addressed.

Third, there is still a lot of government and public-sector presence in several industries, distorting policy and competition. The time has come to undo the legacy of the industrial policies of the 1950s and roll back the